Subaward Oversight Policy: Specific Conditions and Evidence Handling

Policy source | Vellumstone School District Emergency Management Office

1. Definitions and purpose. A **specific condition** is a temporary, written control attached to an award to address identified compliance or performance risk. A specific condition is not, by itself, a termination, suspension, debt acceleration, or legal determination. The notice should use the label “Specific Condition Notice.”

2. Monitoring labels. Routine monitoring means ordinary oversight of an award. **Enhanced monitoring** means the additional evidence and review applied under specific conditions. Before using “monitoring” operationally, identify which sense is intended; this policy uses “enhanced monitoring” for the additional controls below.

3. Mandatory controls. A Specific Condition Notice may require the subrecipient to: (a) submit an **Accounting and Supporting-Records Package** for funds already drawn, showing expenditures, dates, vendors/payees, and records supporting allowability; (b) submit a **Remaining-Work and Schedule/Status Report** describing work completed, work remaining, current schedule, and barriers; (c) provide **Future Draw/Reimbursement Support** with each future request, including costs incurred and source records; and (d) provide **Completion/Closeout Evidence**, including completion documentation and final supporting records for the culvert activity.

4. Material changes. The subrecipient must identify material changes affecting performance, access to records, or ability to complete the work. Use the label **Material Change Notice**.

5. Timing. Unless a notice states otherwise, the response deadline is **ten business days after receipt** of the Specific Condition Notice. Future Draw/Reimbursement Support is due with each future draw or reimbursement request. Completion/Closeout Evidence is due when the work is complete and before final closeout review.

6. Evidence handling and status values. Missing or late evidence is first recorded as **Pending Evidence** or **Incomplete Evidence** and is not itself proof of noncompliance. A **Substantiated Issue** requires review of the available record. Approved status values are: Pending Evidence; Incomplete Evidence; Under Review; Substantiated Issue; Complete.

7. Escalation boundary. If a required condition is not met, the agency may request clarification or missing evidence, document the issue, and refer any proposed adverse award action through the agency’s authorized process. This policy does not authorize automatic termination or acceleration.

8. Discretionary practice. The agency may recommend a check-in or site/status update. A recommendation is not a mandatory condition unless separately designated as one in the notice.

9. Allowable costs and legal boundary. A notice may preserve review of allowable, supported costs, including properly completed work, without guaranteeing reimbursement, continued funding, waiver, or payment timing. Bankruptcy-law questions, including applicability or effect of any stay and creditor remedies, are outside the compliance notice and must be referred to county counsel.

10. Approved communication route. Subrecipients must submit responses and evidence to the **Emergency Management Office, Vellumstone School District — use the subaward contact channel in your award correspondence.**